



China has some advantages, for example, the big investments it has made in infrastructure, implicit and explicit subsidies, which again, market economies like the United States and India can't offer. China can also force groups to work together. There are certain ways that China functions which are difficult for economies like the United States and India to replicate. Some of those have inherent dangers. Therefore, interventions by the United States, India and aligned partners to block China's ability to dominate certain sectors that have strategic value is in our interest. That provides an area of opportunity. India has seen success in attracting investments in manufacturing, in areas like

automotive and pharmaceutical, where they've got real competitive advantages even against China. That gives us an idea that it's not impossible to take advantage. It's also important to remember that we talk a lot about manufacturing for obvious reasons, but India already is the workshop to the world when it comes to IT services, and now that companies continue to expand their global capability centres, we sometimes forget this real diamond that India has. India managed to do in IT services what China was able to do in manufacturing.

But a lot of times, India is happy doing work for global companies rather than creating own IP. And that's got to snap and change. But does India have the talent and skill

set to become the engineering design centre of the world? Absolutely.



The world is at a pivotal moment in the global trade order. To serve the objective of India at 2047, what kind of trade architecture should it pursue?

Some of the work that the team at Invest India has done recently is deep and thoughtful. You take a product that India wants to be great at, like semiconductor. Semiconductor is the culmination of a bunch of different functions and features that different companies do—mining, research and engineering, design, fabrication. In some of those areas, India is already competitive. In some, it's a little bit behind, but can catch up. And in some, it's probably a decade or more behind.

So, approaching every product in a segmented way, what can India do today? What can India do tomorrow? And what is India going to have to import for the next 10 years? And then target a lot of subsidies. But the second avenue is investment in basic industries. When India first announced the Make in India programme, it was about being explosively great at some of the high-tech areas where the distance to frontier is quite far. But India is not competitive even with

Bangladesh when it comes to ready-made garments and textiles. And that's a big export earner and job creator. So far, we have not seen the same level of impetus in basic industries like textiles, paper mills, and such. I would like to see a much bigger push in basic industries.



What does the rest of the world, particularly the United States, need to do to help the cause of India's growth? Because vis-a-vis China, you have a country with a lot of shared values. What can the United States do at this stage, despite what President Trump seems to be doing to the relationship with our country?

China's economic domination of the world has been the financial impetus for the investments they have made in improving their own security situation at our peril. And when I say ours, I mean both the United States and India. And so, making sure that India is an alternative that has a strong, vibrant economy that is more bulletproof from China than the United States is right now, is strongly in our interest. Helping India insulate itself from China is strongly in our interest. **BT**

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